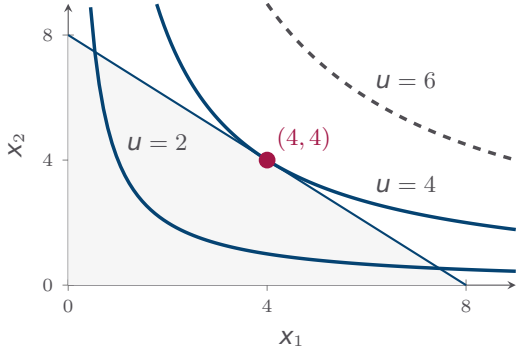
Wants and possibilities in one picture



Possibilities:

$p_1 = p_2 = 1$, $m = 8$.

$x_1 + x_2 \leq 8$.

Wants:

$u(x) = \sqrt{x_1 x_2}$.

The best affordable bundle is $(4, 4)$, with utility 4.

Why is $u = 6$ unattainable? Why settle for $u = 2$?